in a year when total auto sales stood at 3.3 million. The top-selling hatchbacks at the time included the Maruti Ignis, Hyundai Grand i10, Tata Tiago and Ford Figo, among others.

But the tide has now turned. Sports utility vehicles (SUVs), especially compact or crossover SUVs, have become the core of the Indian passenger vehicle market, putting an end to the supremacy of hatchbacks. In 2021-22, SUV sales pipped hatchbacks to the top position. As many as 1.2 million SUVs were sold in 2021-22, compared to just 768,837 in 2017-18. Sales of hatchbacks, meanwhile, fell from 1.58 million in 2017-18 to 1.2 million in 2021-22. This meant that SUVs comprised over 40 per cent of the total car sales in 2021-22, compared to hatchbacks that had a 37.3 per cent share. The trend is continuing this financial year too, with 512,759 SUV units sold in April-July as compared to 437,760 hatchbacks.

There are as many as 50 different SUV products in the Indian market. The top-selling SUVs include the Tata Nexon that sold 124,130 units in 2021-22, Hyundai Creta with 118,092 units, Maruti Suzuki Vitara Brezza (113,751), Kia Seltos (95,929), and Mahindra Bolero and XUV 300 that sold 51,154 and 50,260 units, respectively.

SALES BOOSTERS

What explains this increasing appetite for SUVs? Experts say that the sturdy road presence, upright seating style, and smoother ride on Indian roads that are notorious for their poor quality, especially outside city limits, are factors that are driving higher sales. They are also aspirational products for the rising Indian middle class, with aggressive marketing from carmakers adding to the hype. 'Bigger, stronger and tougher' seem to be the catchwords around SUVs, so much so that some consumers consider them symbols of status and power. Moreover, the launch of new models in the sub-Rs 10 lakh range and the availability of easy auto finance have helped, even as consumers do not mind paying more for vehicles that have wide-ranging features. For instance, the Hyundai Creta has LED headlights, electronic parking brake and a panoramic sunroof, while the Kia Seltos has a remote engine start feature, and the Tata Nexon has an all-digital instrument cluster and an infotainment screen, to name a few.

'BIGGER, STRONGER AND TOUGHER' SEEM TO BE THE CATCHWORDS AROUND SUVs

Ravi Bhatia, president and director at JATO Dynamics India, an automotive technology and consulting firm, says that there is a difference between what are called SUVs in India and what is accepted as an SUV worldwide. "These are engineering differences. Here, what passes for SUVs are crossover vehicles that are SUV lookalikes." According to him, several factors are driving SUV sales in India. "First, there is a pull from the customers. Having used sedans and hatchbacks for a very long time, people are looking for a different experience, where seating position is higher, and there is a perception of more space inside." Then comes the aspirational value of driving cars that almost look like SUVs.

The third is that automakers make more money on SUV body style; so it is more profitable for them. "Carmakers started packaging these cars with more and more technologies. When a feature comes in for the first time, they will be first introduced in an SUV," says Bhatia. Moreover, some of the sub-segments in the Indian automotive market are getting saturated, including the hatchback segment. This means that outdoorsy, off-road vehicles will see more traction. Add to this a variety of offers that automakers keep announcing, which will all add up to higher sales. "It is a virtuous cycle. Every carmaker keeps launching such vehicles, and the more such vehicles are launched, the more the market will grow," Bhatia says, adding that from being "SUV-ish", we are getting closer to launching SUVs with interesting technologies concerning safety, infotainment and hygiene.



*All prices are ex-showroom, for entry-level variant